6.5 Characteristics of Delegation of Authority

1. Delegation takes place when a manager grants some of his power to subordinates.
2. Delegation occurs only when the person delegating the authority himself has that authority i.e. a manager must possess what he wants to delegate.
3. Only a part of authority is delegated to subordinates.
4. A manager delegating authority can reduce, enhance or take it back. He exercises full control over the activities of the subordinates even after delegation.
5. Only the authority can be delegated and not the responsibility. A manager cannot abdicate responsibility by delegating authority to subordinates.

6.6 Steps in Delegation

The following steps may be taken for effective delegation -

1. **Allocation of duties:** The Delegator communicates his subordinate regarding the task to be performed. The resources should be provided and the time limit should be informed. The superior can ask the subordinate to prepare his own plan for performing the task.
2. **Delegation of Authority:** To perform the task authority is required. Authority is the right granted to the employee to perform the task. For eg: Sales manager is responsible for advertisement, sales promotion etc. for that he must be delegated with the authority to do the necessary activities.
3. **Assignment of Responsibilities:** When authority is delegated he must be assigned with responsibility. That is when one is given rights one must also be assigned a corresponding obligation to perform. Responsibility cannot be delegated. A manager should operate responsibility equal to the delegated authority.
4. **Creation of Accountability:** To complete the delegation process the manager must create accountability, that is subordinates must be answerable for the duties which they have carried out.

6.7 Meaning of Centralization and Decentralization

Centralization refers to the degree to which decision-making process is concentrated at a single point in the organization. If top management makes all the important decisions in the organization with little or no input from the lower level employees, then the organization is said to be a highly centralized organization. In contrast, if the organization encourages lower level personnel to participate in the decision making process and allows a greater amount of discretion, the organization is called a decentralized organization.

It is however, to be noted that the concept of centralization - decentralization is relative and not an absolute one. No organization can be labeled as totally centralized or decentralized. It can perhaps be best understood if we consider that an organization may lie along a continuum with centralization at one end and decentralization at the other extreme. Thus, an organization may be relatively centralized or decentralized in its ways of functioning and operations. The table below summarizes the factors determining the amount of centralization-decentralization of an organization.

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